ASSISTANT PROFESSOR EXAM — 2024

Economics • Second Paper

UNIT 6

Money, Banking & Financial Institutions

मुद्रा, बैंकिंग तथा वित्तीय संस्थाएँ

1. **Definition, Functions & Importance of Money; Value Theories — Fisher & Cambridge, Keynes, Friedman, Patinkin, Baumol, Tobin**
2. **Supply of Money, Determinants, High-Powered Money, Plastic & Electronic Money, Money Multiplier**
3. **Change in Value of Money, Inflation & Deflation, Phillips Curve; Role of Money & Capital Markets**
4. **Money & Banking in Ancient India; Commercial & Co-operative Banks; NBFCs, Specialised & Regional Rural Banks**
5. **Central Bank — Functions, Credit Control & Importance; RBI and its Recent Monetary & Credit Policies**

Most Extensive Notes • Diagrams • Definitions • Numericals • Ancient India • Latest RBI Data

English notes with Hinglish explanations • Updated June 2026

Contents & How to Use

Yeh Unit 6 ke **har syllabus point** ko cover karte hain — Unit 5 se bhi zyada detail. Diagrams, exam-ready definitions, **numerical examples** (money multiplier, Fisher equation, etc.), **ancient India banking (Kautilya)**, aur **latest RBI policy data (June 2026)** included hai.

#	Topic	Focus
A	**Money — Meaning, Evolution & Importance**	Barter problems, definitions, near-money
B	**Functions of Money**	Primary, secondary, contingent
C	**Theories of Value of Money**	Fisher, Cambridge, Keynes, Friedman, Patinkin
D	**Baumol-Tobin & Demand for Money**	Inventory & portfolio approaches
E	**Supply of Money & Its Determinants**	M0-M4, high-powered money, multiplier
F	**Credit Creation & Money Multiplier**	Multiple expansion, numericals
G	**Plastic & Electronic Money**	Cards, UPI, digital rupee (CBDC)
H	**Value of Money, Inflation & Deflation**	Types, causes, effects, Phillips curve
I	**Money Market & Capital Market**	Instruments, role, components
J	**Money & Banking in Ancient India**	Kautilya, hundi, indigenous bankers
K	**Commercial & Co-operative Banks**	Functions, structure, importance
L	**NBFCs, Specialised & Regional Rural Banks**	NABARD, SIDBI, RRBs, financial institutions
M	**Central Bank & RBI — Functions**	Note issue, banker, lender of last resort
N	**Credit Control & RBI Monetary Policy**	Quantitative/qualitative tools, MPC, latest rates
O	**Numerical Examples & Formulas**	Multiplier, Fisher, money supply
P	**Quick Revision & Likely Questions**	One-liners + previous-year style Q&A;

A. Money — Meaning, Evolution & Importance

Money = anything that is **generally accepted** as a medium of exchange and in the settlement of debts. Crowther: "Money is anything that is **generally acceptable** as a means of exchange and that at the same time acts as a **measure and store of value**." Walker: "**Money is what money does.**"

Problems of Barter (why money was needed)

- **Double coincidence of wants**: dono parties ko ek doosre ki cheez chahiye honi chahiye — rare & inefficient.
- **Lack of a common measure of value**: no single yardstick to compare goods.
- **Indivisibility**: how to exchange half a cow for some grain?
- **Lack of store of value**: perishable goods can't store wealth.
- **Difficulty of deferred payments**: lending/borrowing in goods is impractical.

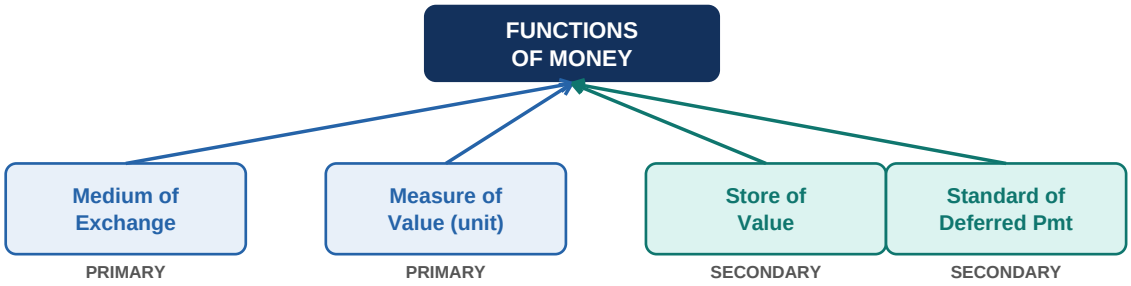
Evolution of money

- **Commodity money** (cattle, grain, shells) → **Metallic money** (gold, silver coins) → **Paper money** (representative, then fiat) → **Credit/Bank money** (cheques, demand deposits) → **Plastic & electronic money** (cards, UPI, CBDC).
- **Fiat money** = legal tender by government order, not backed by a commodity (today's currency notes).
- **Near money / quasi-money**: highly liquid assets (bonds, bills, time deposits) that are close substitutes but not money itself.

Importance of money (in a modern economy)

• Removes barter inefficiencies; promotes **specialisation & trade**. • Basis of the **price mechanism** & rational economic calculation. • Facilitates **saving, investment & capital formation**. • Enables **credit** & a developed financial system. • A tool of **monetary policy & macro stabilisation**. **Hawtrey**: money is the "life-blood" of the economy.

B. Functions of Money



Contingent functions: distribution of income, basis of credit, liquidity, capital transfer

"Money is what money does" (Walker) | Solves the problems of barter:

double coincidence of wants, lack of common measure, indivisibility, no store of value

Fig B.1 — Primary, secondary & contingent functions of money

Category	Function	Explanation
Primary	Medium of exchange	Accepted for buying/selling; removes double coincidence of wants.
Primary	Measure of value (unit of account)	Common denominator to express & compare prices.
Secondary	Store of value	Wealth can be held in money form (most liquid).
Secondary	Standard of deferred payment	Future/credit payments expressed in money.
Secondary	Transfer of value	Wealth can be transferred across persons/places.
Contingent	Distribution, liquidity, credit base	Basis of income distribution, credit creation & maximum satisfaction (Kinley).

KEY TERMS / परिभाषाएँ

Legal tender	Money that must be accepted by law in settlement of debt (limited vs unlimited).
Fiat money	Money declared legal tender by govt, not backed by commodity.
Near money	Highly liquid non-money assets (bills, bonds, time deposits).
Liquidity	Ease with which an asset converts to cash without loss of value.

C. Theories of the Value of Money

Value of money = its purchasing power = inverse of the price level (1/P). Agar prices badhte hain, money ki value girti hai. In theories explain karte hain ki money ki value kaise determine hoti hai.

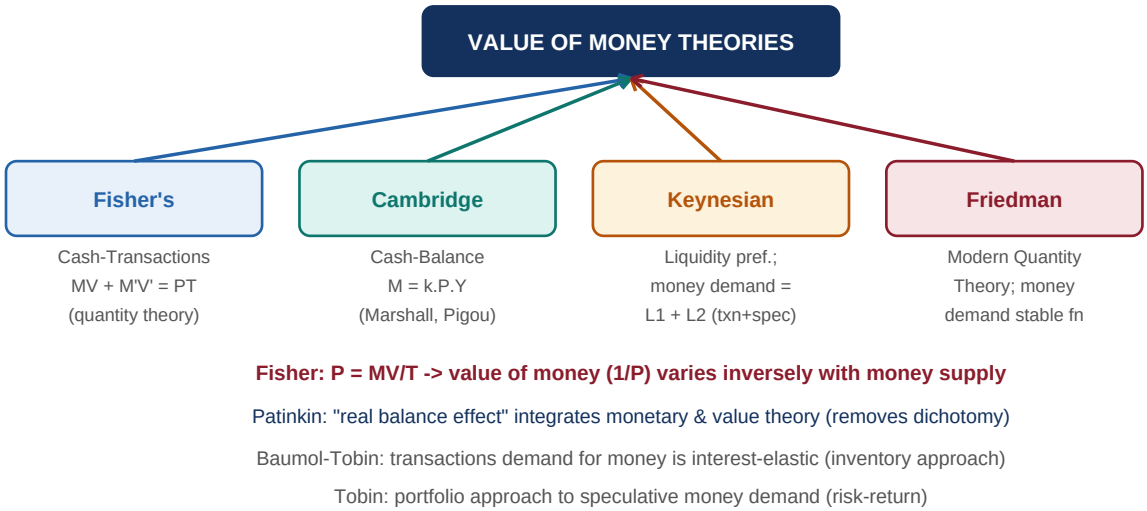


Fig C.1 — The main theories of the value of / demand for money

1. Fisher's Cash-Transactions Approach (Quantity Theory)

Fisher's Equation of Exchange

MV + M′V′ = PT

M = currency, V = its velocity; M′ = bank/credit money, V′ = its velocity; P = price level; T = total transactions.

Simplified: **MV = PT**, hence **P = MV/T**.

Assuming V and T constant, **P varies directly with M** → value of money (1/P) varies **inversely** with the money supply. "Money supply double → prices double."

- *Critique*: assumes V & T constant & full employment; treats money only as a medium of exchange (ignores store-of-value/asset demand); mechanical & ignores interest rate.

2. Cambridge Cash-Balance Approach (Marshall, Pigou, Robertson, Keynes)

Cambridge Equation

M = k.P.Y (or P = M / kY)

k = fraction of real income (Y) people wish to hold as money (cash balances); P = price level.

Focus shifts from **velocity** to the **demand to hold money** (liquidity). Value of money depends on the demand & supply of money balances. k = 1/V (reciprocal of velocity).

3. Keynesian Liquidity Preference Theory

- Keynes: people demand money for **three motives** — **Transactions**, **Precautionary** (both income-determined, L1) and **Speculative** (interest-determined, L2).
- **Md = L1(Y) + L2(r)**. Interest rate is determined where money demand = money supply (liquidity preference).
- **Liquidity trap**: at very low interest rates, demand for money becomes perfectly elastic — monetary policy becomes ineffective.

4. Friedman's Modern Quantity Theory & Patinkin

- **Friedman** (monetarism): demand for money is a **stable function** of permanent income & a few variables; "**inflation is always and everywhere a monetary phenomenon**." Money is treated like any asset.
- **Patinkin**: introduced the **"real balance effect**" — changes in real money balances affect demand for goods, integrating monetary theory with value theory and removing the **"classical dichotomy.**"

D. Baumol-Tobin & the Demand for Money

- **Baumol-Tobin Inventory Approach**: treats cash like inventory. There is a **cost of holding money** (interest foregone) and a **cost of converting bonds to cash** (brokerage). The optimal money holding minimises total cost — the famous **"square-root rule."**
- Implication: even **transactions demand for money is interest-elastic** (rises with income, falls with interest rate) — contradicting the classical view that it is interest-inelastic.
- **Tobin's Portfolio Approach**: re-derives **speculative demand** from **risk-return** behaviour. Investors hold a **diversified portfolio** of money (safe, zero return) and bonds (risky, higher return) based on risk-aversion — not Keynes's all-or-nothing bet.

Baumol-Tobin square-root formula

Optimal average cash holding **$C^* = \sqrt{(2bT / r)}$**

b = cost per conversion (brokerage), T = total spending, r = interest rate.

→ Money demand rises with the **square root** of income/spending and falls with the square root of the interest rate (economies of scale in cash management).

KEY TERMS / परिभाषाएँ

Transactions demand	Money held for day-to-day purchases (income-determined).
Speculative demand	Money held to exploit bond-price/interest movements (interest-determined).
Liquidity trap	Interest so low that money demand is infinitely elastic; monetary policy fails.
Real balance effect	Patinkin: real money balances influence goods demand.

E. Supply of Money & Its Determinants

Money supply = total stock of money (currency + deposits) held by the **public** at a point in time (a stock concept). RBI measures it in graded liquidity aggregates.

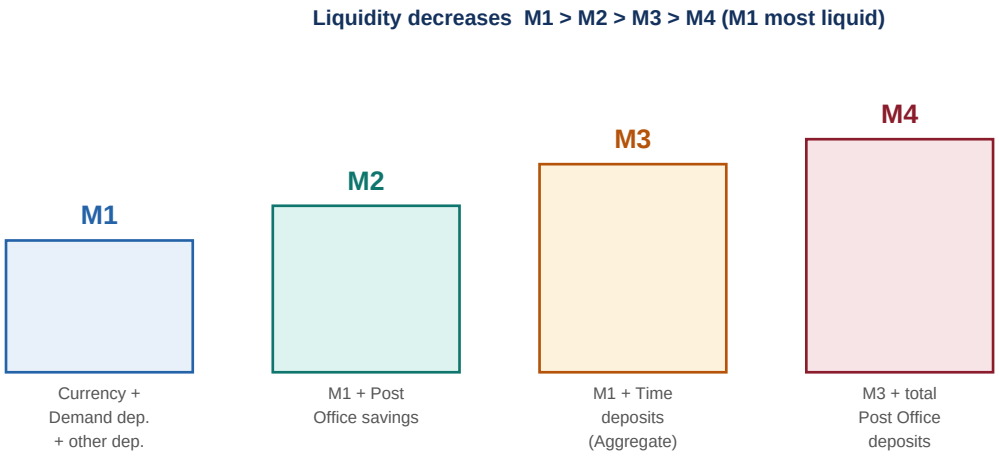


Fig E.1 — RBI's monetary aggregates M0–M4 (decreasing liquidity)

Measure	Composition
M0 (Reserve / High-Powered Money)	Currency in circulation + Bankers' deposits with RBI + 'Other' deposits with RBI.
M1 (Narrow Money)	Currency with public + Demand deposits + Other deposits with RBI.
M2	M1 + Savings deposits with Post Office savings banks.
M3 (Broad Money / Aggregate)	M1 + Time (fixed) deposits with banks. (Most used measure.)
M4	M3 + Total deposits with Post Office savings (excl. NSCs).

High-Powered Money & determinants

- **High-powered money (H or M0)** = the monetary base created by the RBI = currency + banks' reserves. It is "high-powered" because each unit supports a multiple of money supply.
- **Money supply M = m × H**, where **m = money multiplier**. So money supply depends on: (i) the **monetary base H** (controlled by RBI) and (ii) the **multiplier m** (depends on the currency-deposit ratio and the reserve ratio).
- **Determinants**: RBI's monetary policy, the **reserve ratio (CRR/SLR)**, the public's **currency-deposit ratio**, banks' **excess reserves**, and the government's budget deficit (if monetised).

F. Credit Creation & the Money Multiplier

Commercial banks ‘create’ money by lending. Jab ek bank loan deta hai, wo ek naya deposit banata hai, jo phir doosre bank mein jaata hai — ek **multiple expansion** hoti hai.

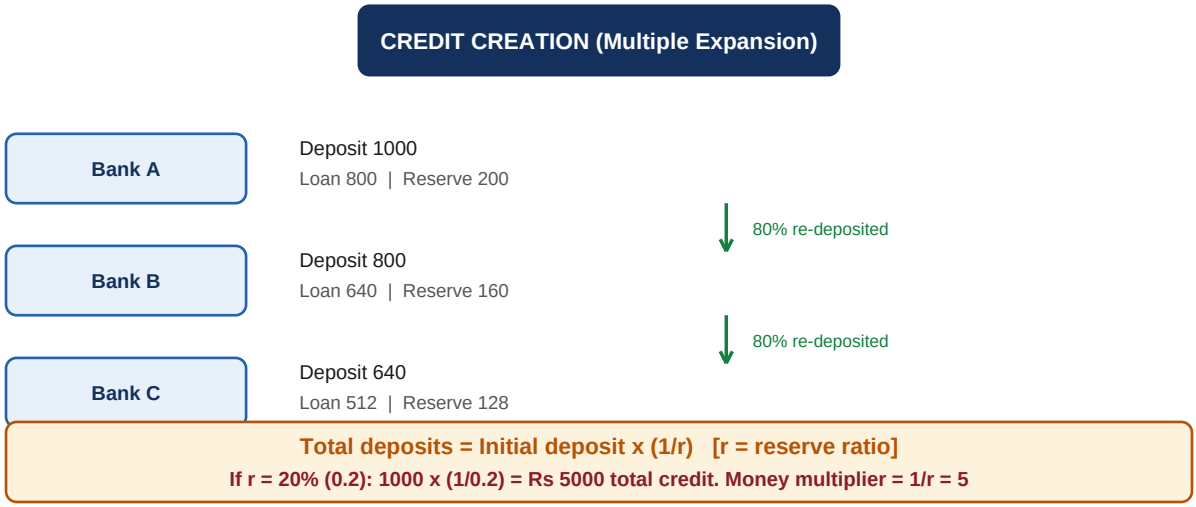


Fig F.1 — Multiple credit creation by the banking system

- Banks keep only a fraction (the **reserve ratio, r**) of deposits as reserves and lend the rest. The borrower’s spending becomes a deposit in another bank, which again lends a fraction, and so on.
- **Total credit created = Initial (primary) deposit × (1/r)**. The factor **1/r is the credit/deposit multiplier**.
- **Money multiplier (m) = (1 + c) / (c + r)**, where c = currency-deposit ratio, r = reserve ratio (more realistic than 1/r).
- **Limitations**: cash leakages (public holding currency), availability of borrowers, banks’ willingness to lend, the RBI’s reserve requirements, and business confidence.

Quick numerical (full version in Section O)
If primary deposit = Rs 10,000 and reserve ratio r = 10% (0.1):
Total deposits = 10,000 × (1/0.1) = **Rs 1,00,000**; Credit created = 1,00,000 – 10,000 = **Rs 90,000**; Simple multiplier = 1/0.1 = **10**.

G. Plastic & Electronic Money

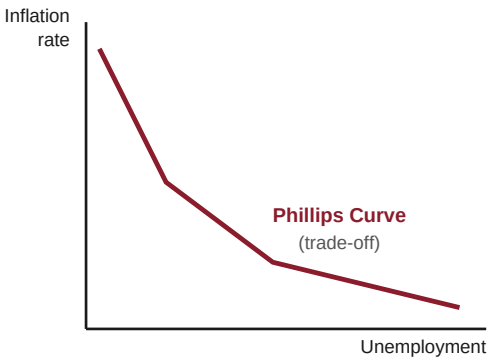
Digital age mein money ka form badal gaya hai. **Plastic money** aur **electronic money** cash-less transactions enable karte hain.

Type	Description
Credit card	Buy now, pay later (a short-term loan from the issuing bank).
Debit card	Directly debits the holder's bank account in real time.
Prepaid / smart cards	Pre-loaded value (e.g. metro cards, gift cards, wallets).
e-money / wallets	Stored-value digital money (Paytm, PhonePe); PPIs regulated by RBI.
UPI	Unified Payments Interface — instant real-time bank-to-bank transfer (NPCI).
CBDC (Digital Rupee)	RBI's sovereign digital currency (e-Rupee), legal tender in digital form.

- **Advantages**: convenience, safety (less cash), speed, financial inclusion, lower transaction costs, transparency (curbs black money), and an audit trail.
- **Concerns**: cyber fraud, digital divide, data privacy, system outages, and over-spending on credit.
- **CBDC (e-Rupee)**: launched by RBI (pilots from late 2022) — a central-bank liability, unlike private crypto; combines the trust of cash with the efficiency of digital. Two forms: **retail (CBDC-R)** and **wholesale (CBDC-W)**.

H. Value of Money, Inflation & Deflation

Money ki value (purchasing power) prices ke saath inversely move karti hai. Iske changes — **inflation** (prices up) aur **deflation** (prices down) — economy ko deeply affect karte hain.



Inflation = sustained rise in general price level (value of money falls)

Demand-pull vs Cost-push inflation
Deflation = sustained fall in prices
Stagflation = inflation + unemployment

Long-run Phillips curve is vertical (Friedman-Phelps; NAIRU)

Measured by: WPI, CPI, GDP deflator | RBI targets CPI inflation at 4% (+/-2%)

Fig H.1 — The Phillips curve: short-run inflation–unemployment trade-off

Inflation — types & causes

Type / basis	Meaning
Demand-pull	Too much money chasing too few goods (excess aggregate demand).
Cost-push	Rising input costs (wages, oil) push prices up (supply-side).
By rate	Creeping (<3%), Walking, Running, Galloping, Hyperinflation.
Stagflation	Inflation + stagnation/unemployment together (1970s oil shock).
Deflation	Sustained fall in general prices (value of money rises) — can deepen recession.
Disinflation	Fall in the rate of inflation (still positive, just slower).

Effects & measurement

- **Effects**: redistributes income (hurts creditors, fixed-income earners & savers; helps debtors); distorts investment; mild inflation can stimulate output, but high inflation harms growth & exports.
- **Measurement**: **WPI** (Wholesale Price Index), **CPI** (Consumer Price Index — RBI's target index), and the **GDP deflator**.
- **Phillips Curve**: short-run inverse trade-off between inflation & unemployment. **Friedman-Phelps**: no long-run trade-off — the long-run Phillips curve is **vertical** at the natural rate (NAIRU); only unanticipated inflation affects output.
- **Control**: monetary measures (tighten money supply), fiscal measures (cut deficit), and supply-side measures. RBI follows **flexible inflation targeting**: CPI at **4% (+/- 2%)** since 2016.

I. Money Market & Capital Market

Financial market = jahan funds lend & borrow hote hain. Time-period ke basis par do parts: **money market** (short-term) aur **capital market** (long-term).

Feature	Money Market	Capital Market
Maturity	Short-term (up to 1 year).	Long-term (> 1 year) & equity.
Instruments	T-bills, Call money, CDs, Commercial Paper, repos.	Shares, debentures, bonds, mutual funds.
Players	RBI, banks, financial institutions, dealers.	Public, firms, FIIs, SEBI-regulated entities.
Regulator	RBI.	SEBI (Securities & Exchange Board of India).
Liquidity/Risk	Highly liquid, low risk.	Less liquid, higher risk & return.
Purpose	Working capital / liquidity management.	Fixed capital, long-term investment.

- **Money market instruments**: **Treasury Bills** (govt, 91/182/364 days), **Call money** (inter-bank, 1 day), **Certificates of Deposit** (banks), **Commercial Paper** (corporates), **Repos**.
- **Capital market**: **Primary market** (new issues — IPOs) and **Secondary market** (stock exchanges — NSE, BSE). Provides **long-term capital** for investment.
- **Role**: mobilise savings, allocate capital efficiently, provide liquidity, enable price discovery, and transmit monetary policy. A developed market is vital for growth.

J. Money & Banking in Ancient India

Syllabus specifically **"Concept of Money and Banking in Ancient India"** maangta hai. India ka banking aur monetary system bahut prachin hai — Vedic times se hi developed tha.

Money in ancient India

- **Vedic period**: '**Nishka**' and '**Hiranya**' (gold pieces) used as money; cattle (*go-dhan*) as a measure of wealth.
- **Punch-marked coins** (silver & copper, ~6th century BCE) — among the earliest coins in the world. Later the **Karshapana**, and Gupta-era gold **dinaras**.
- **Kautilya's Arthashastra** describes a sophisticated monetary system: the **Pana** (silver) and **Mashaka** as units, and a state **mint (Lakshanadhyaksha = superintendent of the mint)** and an **examiner of coins (Rupadarshaka)**.

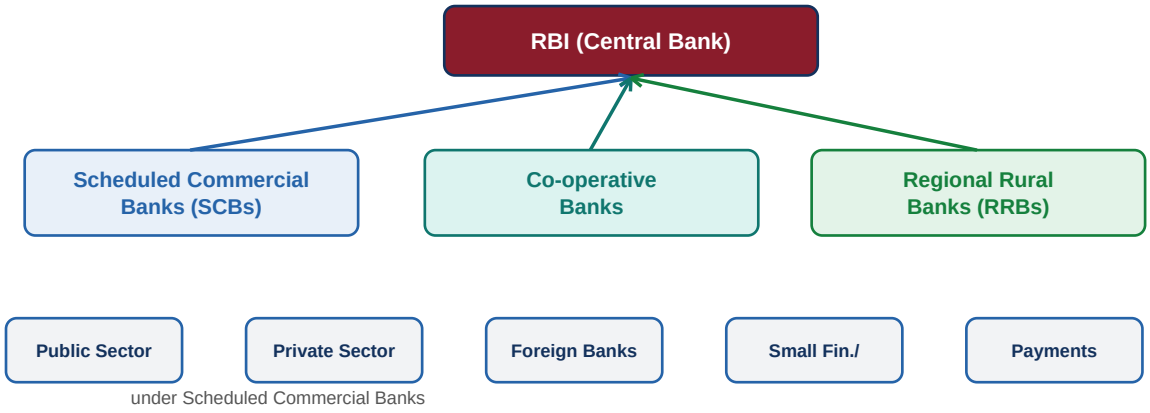
Banking in ancient India

- **Kautilya** mentions **deposits, loans, and interest rates** regulated by the state. Standard interest ~15% p.a. for ordinary loans; higher for risky trade & sea voyages (anticipating risk-based pricing).
- **Shreshthis** (rich merchant-bankers) and **Sarthavahas** (caravan traders) acted as bankers, accepting deposits and financing trade.
- **Hundi** = an indigenous **bill of exchange / credit instrument** used for remittance & trade finance — a forerunner of modern negotiable instruments, used for centuries.
- **Usury & ethical limits**: Manu Smriti and Brihaspati laid down rules on interest ('*kusida*') and protection of debtors; lending was regulated, not unrestrained.
- Temples and guilds (**shrenis**) also performed banking functions — safe-keeping, lending, and even issuing their own instruments.

Exam angle

Key points: (i) **punch-marked coins** = earliest Indian coinage; (ii) **Kautilya** regulated coinage, deposits, loans & interest via state officials; (iii) **hundi** = indigenous bill of exchange; (iv) **shreshthis/shrenis** = merchant-banker class. This shows India had an advanced credit & monetary system long before modern banking.

K. Commercial & Co-operative Banks



NBFCs & Specialised institutions (NABARD, SIDBI, EXIM, NHB) operate alongside

Banking Regulation Act 1949 + RBI Act 1934 govern the system

RBI nationalised 1949; SBI 1955; 14 banks 1969; 6 banks 1980 (nationalisation milestones)

Fig K.1 — Structure of the Indian banking system (RBI at apex)

Commercial Banks — functions

- **Primary functions**: (i) **Accepting deposits** (demand: current & savings; time: fixed & recurring); (ii) **Advancing loans** (cash credit, overdraft, term loans, discounting bills).
- **Secondary functions**: **Agency** (collection of cheques, payments, fund transfer) and **general utility** (lockers, demand drafts, forex, letters of credit).
- **Credit creation** (Section F) is their most important macro function.
- **Classification**: Public Sector Banks (SBI & nationalised), Private Sector Banks, Foreign Banks, Regional Rural Banks, Small Finance Banks & Payments Banks.

Co-operative Banks

- Based on **co-operative principles** (“one member, one vote”), serving agriculture & small borrowers; registered under Co-operative Societies Acts, regulated jointly by RBI & state registrars.
- **Three-tier rural structure**: **State Co-op Bank** (apex) → **District/Central Co-op Bank** → **Primary Agricultural Credit Societies (PACS)** at the village level.
- **Urban Co-operative Banks (UCBs)** serve urban/semi-urban small businesses. They suffer from dual control, weak capital & governance issues.

L. NBFCs, Specialised & Regional Rural Banks

Non-Banking Financial Companies (NBFCs)

- Financial institutions that provide **banking-like services** (loans, leasing, hire-purchase, investment) but **cannot accept demand deposits** and are **not part of the payment system**.
- Registered under the **Companies Act** & regulated by the **RBI**. Examples: **Bajaj Finance, Muthoot, LIC Housing Finance**; types include loan companies, infrastructure finance companies, microfinance institutions (MFIs), and core investment companies.
- **Role**: deepen financial inclusion, fund segments banks underserve (MSMEs, vehicles, gold loans).

Regional Rural Banks (RRBs)

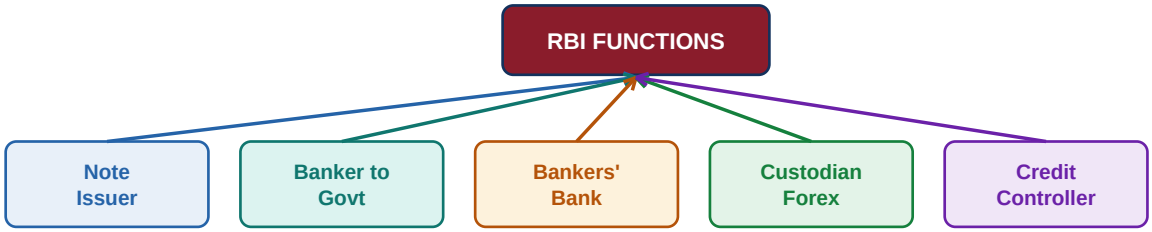
- Established under the **RRB Act 1976** (on the Narasimham Committee's recommendation) to provide credit to small farmers, artisans & rural labour.
- **Ownership**: Central Govt (50%) + Sponsor Bank (35%) + State Govt (15%). Combine the local feel of co-ops with the business discipline of commercial banks.

Specialised / Development Financial Institutions

Institution	Role
NABARD	Apex bank for agriculture & rural development (est. 1982).
SIDBI	Apex institution for MSME finance (est. 1990).
EXIM Bank	Finances & promotes India's foreign trade (est. 1982).
NHB	National Housing Bank — apex for housing finance (est. 1988).
IDBI / IFCI / ICICI	Older development finance institutions for industry.
LIC / GIC	Insurance-based long-term investment institutions.

M. Central Bank & RBI — Functions

Central bank = the apex monetary authority that controls a country's money & banking system. India's central bank = the **Reserve Bank of India (RBI)**, established under the **RBI Act 1934** (began operations 1 April 1935; nationalised 1949).



Lender of last resort | Controller of credit | Promoter of development

Minimum Reserve System (since 1957): min Rs 200 cr assets (Rs 115 cr gold)

Monetary policy goal: price stability + growth | Inflation target 4% (+/- 2%)

MPC (6 members) sets the repo rate since 2016 (flexible inflation targeting)

Fig M.1 — Core functions of the Reserve Bank of India

Function	Explanation
Issuer of currency	Sole right to issue notes (Rs 2 & above); follows the Minimum Reserve System (since 1957). The Re 1 note & coins are issued by the Govt.
Banker to Government	Maintains govt accounts, manages public debt, advises on monetary/fiscal matters.
Bankers' Bank	Holds banks' reserves (CRR), clears inter-bank settlements, supervises banks.
Lender of last resort	Provides emergency liquidity to banks in crisis — prevents bank runs.
Custodian of forex	Manages foreign-exchange reserves & the external value of the rupee (FEMA).
Controller of credit	Regulates money supply & credit through monetary policy (Section N).
Developmental	Promotes financial inclusion, priority-sector lending, rural credit, payment systems.

Importance of the central bank

Ensures **monetary stability** (controls inflation), **financial stability** (supervises banks), acts as **lender of last resort**, manages the **currency & forex**, and steers **economic growth** via credit. Without it, the banking system would be prone to panics & instability.

N. Credit Control & RBI Monetary Policy

RBI money supply & credit ko control karta hai do tarah ke tools se: **quantitative** (volume) aur **qualitative** (direction). Yeh monetary policy ka core hai.

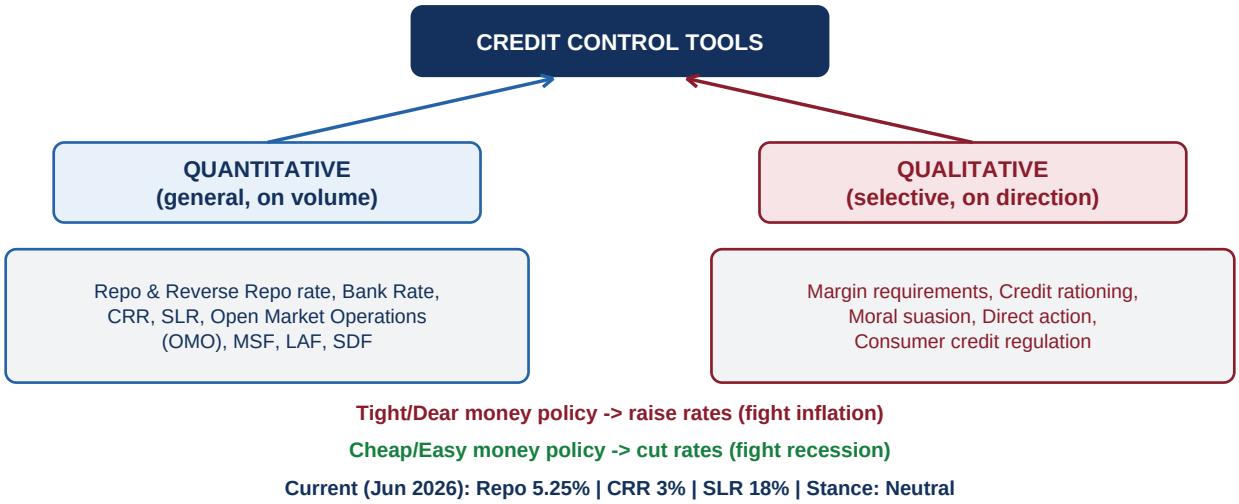


Fig N.1 — Quantitative vs qualitative credit-control tools & current rates

Quantitative (general) tools

Tool	How it works
Repo rate	Rate at which RBI lends to banks against securities. ↑ Repo = costlier credit = tighter.
Reverse repo / SDF	Rate RBI pays banks to park funds; absorbs liquidity. SDF is the floor of the corridor.
Bank rate / MSF	Long-term lending rate; MSF is the ceiling (emergency overnight borrowing).
CRR	% of deposits banks must keep with RBI (no interest). ↑ CRR = less to lend.
SLR	% of deposits banks must hold in liquid assets (gold, cash, G-secs).
OMO	RBI buys/sells govt securities to inject/absorb liquidity.

Qualitative (selective) tools

- **Margin requirements** (loan-to-value limits), **credit rationing**, **moral suasion** (persuasion), **direct action**, and **regulation of consumer credit** — these direct credit to or away from specific sectors.

Latest RBI policy stance (June 2026) — current-affairs edge

As of the **June 2026** MPC review: **Repo rate 5.25%** (held; SDF 5.00%, MSF/Bank Rate 5.50%, Reverse Repo 3.35%), **CRR 3.00%**, **SLR 18.00%**, stance **Neutral**. The repo was cut by 25 bps to 5.25% on 5 Dec 2025. Governor: **Sanjay Malhotra**. The **6-member MPC** (since 2016) targets **CPI inflation at 4% (±2%)** under flexible inflation targeting. Next MPC: Aug 2026.

- **Monetary policy transmission**: changes in the repo rate flow to banks' lending rates (via the external benchmark / MCLR) and then to the real economy.
- **Instruments framework**: LAF (Liquidity Adjustment Facility) = repo + reverse repo; the policy corridor runs from SDF (floor) to MSF (ceiling) around the repo rate.

O. Numerical Examples & Formulas

Practice numericals — money multiplier, Fisher equation aur money supply ke calculations exam mein aate hain. Formulas ratt lein.

1. Credit / deposit multiplier

Example 1 — Credit creation

Primary deposit = Rs 20,000; Cash Reserve Ratio (r) = 25% (0.25).

- Credit multiplier = 1/r = 1/0.25 = **4**
- Total deposits created = 20,000 × 4 = **Rs 80,000**
- Derivative credit (new loans) = 80,000 – 20,000 = **Rs 60,000**

2. Money multiplier with currency drain

Example 2 — Realistic money multiplier

m = (1 + c)/(c + r), where c = currency-deposit ratio, r = reserve ratio.

If c = 0.2 and r = 0.1: m = (1+0.2)/(0.2+0.1) = 1.2/0.3 = **4**.

If high-powered money H = Rs 5,00,000 cr, then Money Supply M = m × H = 4 × 5,00,000 = **Rs 20,00,000 cr**.

3. Fisher's equation of exchange

Example 3 — Price level via MV = PT

M = Rs 1,000 cr, V = 5, T = 2,500 cr units.

P = MV/T = (1000 × 5)/2500 = 5000/2500 = **2** (price index).

If M doubles to 2,000 (V, T constant): P = (2000×5)/2500 = **4** → prices double, value of money (1/P) halves from 0.5 to 0.25.

4. Value of money & inflation rate

Example 4 — Purchasing power

If the price index rises from 100 to 125 over a year:

- Inflation rate = (125–100)/100 × 100 = **25%**
- Value of money = 100/125 = **0.80** → purchasing power fell by 20%.

(Note: a 25% price rise = a 20% fall in value, not 25% — a classic exam trap.)

P. Quick Revision & Likely Exam Questions

One-line revision bullets

- **Walker**: “Money is what money does.” Functions: medium, measure, store, deferred payment.
- **Barter problems**: double coincidence, no common measure, indivisibility, no store of value.
- **Fisher**: MV + M′V′ = PT → P = MV/T. **Cambridge**: M = kPY (cash-balance).
- **Keynes**: money demand = transactions + precautionary + speculative; liquidity trap.
- **Friedman**: money demand a stable function; inflation = monetary phenomenon. **Patinkin**: real balance effect.
- **Baumol-Tobin**: C* = √(2bT/r); transactions demand is interest-elastic. **Tobin**: portfolio approach.
- **Money supply**: M0 (high-powered) < ... ; M1 narrow, M3 broad. M = m × H.
- **Money multiplier** = (1+c)/(c+r); simple = 1/r.
- **Inflation**: demand-pull vs cost-push; measured by WPI/CPI/deflator; RBI targets CPI 4% (±2%).
- **Phillips curve**: short-run trade-off; long-run vertical (Friedman-Phelps, NAIRU).
- **Money market** = short-term (RBI); **capital market** = long-term (SEBI).
- **Ancient India**: punch-marked coins; Kautilya regulated coinage/loans/interest; hundi = bill of exchange.
- **RBI**: RBI Act 1934, ops 1935; note issuer, banker, lender of last resort. MPC since 2016.
- **Tools**: quantitative (repo, CRR, SLR, OMO) vs qualitative (margin, moral suasion).
- **Current (Jun 2026)**: Repo 5.25%, CRR 3%, SLR 18%, stance Neutral; Governor Sanjay Malhotra.
- **NABARD** (agri), **SIDBI** (MSME), **EXIM** (trade), **NHB** (housing); RRBs since 1976.

Previous-year style questions (practice)

#	Question
Q1.	Define money. Explain its functions and discuss the problems of barter that money solves.
Q2.	Critically examine Fisher’s cash-transactions and the Cambridge cash-balance approaches to the value of money.
Q3.	Explain the Keynesian theory of demand for money. What is the liquidity trap?
Q4.	Discuss the Baumol-Tobin inventory approach and Tobin’s portfolio approach to money demand.
Q5.	What is money supply? Explain the monetary aggregates (M0–M4) and high-powered money.
Q6.	Explain the process of credit creation by commercial banks and the concept of the money multiplier.
Q7.	Distinguish plastic and electronic money. Discuss the role of the digital rupee (CBDC).
Q8.	Explain the types and causes of inflation. Discuss the Phillips curve and its long-run form.
Q9.	Distinguish the money market and the capital market and explain their role in development.
Q10.	Describe the concept of money and banking in ancient India with reference to Kautilya and the hundi.
Q11.	Explain the functions of commercial banks. Distinguish them from co-operative banks.
Q12.	Discuss the role of NBFCs, RRBs and specialised financial institutions in India.
Q13.	Explain the functions of the RBI and the instruments of credit control. Evaluate its recent monetary policy.

Exam tip

Money-Banking answers mein **equation/diagram + named economist + current RBI data** zaroor likhein. High-probability: **value-of-money theories (Fisher/Cambridge), money multiplier (numerical), RBI functions & credit-control tools, inflation/Phillips curve, and ancient India banking**. Numericals ke liye formulas (Section O) ratt lein, aur latest repo/CRR/SLR figures quote karein.